

ITs have typically offered 6-7.5%, according to Credai National and ANAROCK, close to FDs, but with exposure to commercial real estate.

On the other hand, equities have delivered more in the long term, with compound annual growth rate of 11-13% on the Nifty 50 over the past decade. However, equities have greater volatility and no guaranteed income stream.

Interestingly, at the regulatory level, InvITs are categorised as hybrid instruments. “The parity in treatment of InvITs with REITs as equity instruments in general can allow mutual funds (MFs) and specialised investment funds to include them within their equity allocation limits, indirectly boosting liquidity and improving market participation,” says Badal Yagnik, CEO & Managing Director of commercial real estate firm Colliers India. In fact, investment by MFs is gaining traction, with 25 fund houses investing around ₹55,000 crore in InvITs and REITs till the end of 2025.

“InvITs play a meaningful role as a stable income-generating component within a diversified portfolio, particularly given their relatively predictable cash flows and growing institutional interest,” says Rao.

CASH FLOW REALITY

InvITs generate steady cash flow from operational infrastructure assets across energy, transport, warehousing, and digital sectors, delivering consistent returns even during market volatility.

“Across diverse sectors, from energy, warehousing and digital infrastructure to transport, InvITs have demonstrated significant resilience in distribution consistency,” says Venkatesh. They are required to pay out 90% of their net distributable cash flows, ensuring a steady income stream that often outperforms traditional fixed-income assets.

This stability is driven by long-term contracts, regulated revenue frameworks, and essential-service characteristics, which cushion cash flows against economic volatility. While short-term disruptions may arise due to macro-economic factors, interest rate movements, or sector-specific challenges, overall distribution patterns tend to remain resilient over time.

Data from ICRA Analytics and industry

RIDING THE INFRA PUSH



INDIA'S RAPID DEVELOPMENT IN ROADS, POWER, TELECOM, AND RENEWABLES IS PRODUCING INCOME-GENERATING PROJECTS



INVITS LINK INVESTORS TO PROJECTS WITH PREDICTABLE CASH FLOWS, OFFERING YIELD-ORIENTED INCOME



GROWING ASSETS UNDER MANAGEMENT INDICATE INVESTOR CONFIDENCE IN THE SECTOR



INVESTORS CAN BUY AND SELL UNITS ON EXCHANGES, PROVIDING LIQUIDITY, UNLIKE DIRECT INFRASTRUCTURE INVESTMENTS



HOWEVER, ONLY 5% OF INVIT UNITS ARE HELD BY RETAIL INVESTORS, HIGHLIGHTING UNTAPPED POTENTIAL



WITH THE GOVERNMENT'S PUSH AND STRONG REGULATORY FRAMEWORKS, IT IS A STRATEGIC MOMENT FOR INVESTORS TO ENTER THE MARKET

